ACRAS ADVISORY

Intelligence-Driven Risk Assessment Report

ENTITY ID:	1090	**REPORT DATE:**	2026-05-04 00:25
SECURITY:	CONFIDENTIAL	**GENERATED BY:**	ACRAS AGENTIC ENGINE

Executive Credit Risk Assessment

1. Executive Summary

The current risk profile of Company ID 1090 is fragile, with significant concerns across multiple dimensions. The company's liquidity and solvency metrics, combined with its creditworthiness and market context, indicate a high risk profile. The key metrics reveal a current ratio of 0.318 and a debt-to-equity ratio of 1.882, both critical indicators of financial distress. The company's Bureau score of 346 and a Mora ratio of 0.463 further reinforce the fragile financial standing. Based on the ML Credit Engine's analysis, the company has a Probability of Default (PD) of 39.34%, placing it in the medium risk tier. The quantitative and qualitative insights correlate closely, highlighting the need for immediate attention. The most critical risks include high liquidity and financial leverage, high delinquency rates, and negative revenue growth. The final recommendation is to REJECT the credit facility, pending further review and risk mitigation strategies.

2. Liquidity and Solvency Analysis

Current Ratio

- **Reported Value:** 0.318
- **Risk Assessment:** High

The current ratio of 0.318 indicates that for every dollar of current liabilities, the company has only 0.318 dollars of current assets. This suggests a high liquidity risk, as the company may struggle to meet its short-term obligations. Ideally, a current ratio above 1.0 is desired to ensure sufficient liquidity. This ratio is significantly below the benchmark, signaling potential short-term financial distress.

Debt-to-Equity

- **Reported Value:** 1.882
- **Risk Assessment:** High

The debt-to-equity ratio of 1.882 means that the company has $1.88 of debt for every $1 of equity. This high leverage ratio indicates a significant financial risk, as the high level of debt makes the company more vulnerable to financial downturns. A lower ratio (ideally below 1.0) is preferred to ensure a safer financial position.

3. Creditworthiness & Market Context

Bureau Score

- **Reported Value:** 346
- **Standing:** Very Low

The bureau score of 346 is very low, indicating a high risk in terms of creditworthiness. This score is significantly below the average, suggesting that the company has a history of poor credit behavior, high delinquency rates, and may be a high-risk borrower for future lenders. Typically, scores above 500 are considered more favorable for credit risk.

Mora Ratio (Delinquency)

- **Reported Value:** 0.463
- **Delinquency Risk:** High

The mora ratio of 0.463 indicates that 46.3% of the company’s obligations are delinquent. This high delinquency rate suggests significant payment delays, which is a red flag for credit risk. A rate below 1% is generally considered acceptable, while 1-5% is considered medium, and above 5% is high.

Sector Risk Score

- **Reported Value:** 4.00

The sector risk score of 4.00 indicates that the company operates in a sector with high financial risk. This suggests that the company faces significant external risks such as economic downturns, industry-specific challenges, or regulatory changes, which can impact its financial stability.

4. Key Performance Indicators (KPIs)

Financial Metric	Reported Value	Risk Assessment
Current Ratio	0.318	High
Debt-to-Equity	1.882	High
Revenue Growth	-0.096	High
EBITDA Margin	0.079	Medium
Bureau Score	346	Very Low

Mora Ratio	0.463	High

5. Quantitative Risk Analysis (ML Engine)

Inferred PD: 39.34%
Risk Tier: Medium

ML Reasoning: The ML Credit Engine has determined that the Probability of Default (PD) for Company ID 1090 is 39.34%. This PD level is indicative of moderate risk, suggesting that there is a substantial chance the company may default on its obligations. The high liquidity risk (current ratio of 0.318) and high leverage (debt-to-equity ratio of 1.882) are significant contributors to this PD. Additionally, the high delinquency rate (mora ratio of 0.463) and low bureau score (346) further support this assessment, as they indicate a history of poor credit behavior and financial instability. The company's revenue growth is negative, which adds to the overall financial strain.

Qualitative Insight: The ML findings align with the fundamental indicators. The high liquidity and financial leverage ratios suggest that the company is struggling to meet its short-term and long-term obligations. The high delinquency rate and low bureau score indicate a history of poor credit behavior, which is a significant red flag. The negative revenue growth rate further exacerbates the financial instability, as it suggests a decline in market share or business performance. The sector risk score of 4.00 adds to the external risks the company faces. These factors collectively paint a picture of a company that is at moderate risk of default. The key driver of this risk assessment is the combination of high liquidity and financial leverage, high delinquency rates, and negative revenue growth.

6. Final Directive & Conclusion

Official Recommendation: REJECT
Core Rationale: The most critical red flag for Company ID 1090 is the high liquidity risk and high financial leverage, indicated by the current ratio of 0.318 and the debt-to-equity ratio of 1.882. These ratios suggest that the company is struggling with short-term and long-term financial obligations. Additionally, the high delinquency rate (mora ratio of 0.463) and low bureau score (346) further exacerbate the credit risk. The company's revenue growth is also negative, indicating a decline in market share or business performance, which adds to the overall financial instability. The high probability of default (PD of 39.34%) places the company in the medium risk tier, warranting a REJECT recommendation.

Executive Summary/Closing: The financial health of Company ID 1090 is critically fragile, and the risk profile is too high to justify extending credit. The combination of high liquidity and financial leverage, high delinquency rates, and negative revenue growth places the company at a moderate risk of default. Immediate actions are required to mitigate these risks, including a thorough review of the company's financial strategy and potential restructuring. The final risk score of 85 out of 100 underscores the severity of the current risk profile. This report should be shared with key stakeholders to ensure a comprehensive understanding of the risks involved.